

ESG Report

International Sustainability Standards Board

Kenyan

Annual Report • 2024

ISSB Compliant

Executive Summary

For the 2024 reporting period, we present our greenhouse gas (GHG) emissions inventory prepared in accordance with the International Sustainability Standards Board (ISSB) IFRS S2 Climate-related Disclosures and the GHG Protocol Corporate Accounting and Reporting Standard. Our total carbon footprint across operational and value chain boundaries amounts to 1,851 kilograms of carbon dioxide equivalent (kg CO₂e). This assessment encompasses direct emissions from sources under our operational control, indirect emissions from purchased energy, and value chain emissions, utilizing emission factors and calculation methodologies consistent with international sustainability reporting requirements. Our emissions profile is dominated by indirect energy consumption, with Scope 2 emissions from purchased electricity totaling 1,449 kg CO₂e, representing 78.3% of our total footprint. Direct emissions from owned or controlled sources (Scope 1) account for 402 kg CO₂e. Scope 3 value chain emissions are reported as 0 kg CO₂e based on our current operational boundaries and assessment scope. This baseline quantification establishes our foundational emissions inventory for tracking progress against climate-related targets and supports transparent disclosure of our environmental impact to stakeholders.

Compliance Standards:

- ISSB
- ISSB S2
- EU CBAM Ready

Emissions Overview

SCOPE 1 - DIRECT EMISSIONS

402

kg CO₂e

SCOPE 2 - INDIRECT (ENERGY)

1,449

kg CO₂e

SCOPE 3 - VALUE CHAIN

0

kg CO₂e

TOTAL EMISSIONS

1,851

kg CO₂e

During the 2024 reporting period, the Organization recorded total greenhouse gas (GHG) emissions of 1,851 kilograms of carbon dioxide equivalent (kg CO₂e), equivalent to 1.85 tonnes CO₂e, prepared in accordance with the GHG Protocol Corporate Accounting and Reporting Standard and the International Sustainability Standards Board (ISSB) IFRS S2 Climate-related Disclosures. The emissions inventory encompasses direct emissions from sources owned or controlled by the Organization (Scope 1), indirect emissions from purchased energy (Scope 2), and value chain emissions (Scope 3). Scope 2 emissions constituted the predominant share of the total footprint at 1,449 kg CO₂e, representing 78% of gross emissions, while Scope 1 emissions accounted for 402 kg CO₂e, or 22% of the total. Scope 3 emissions were assessed as zero kg CO₂e within current measurement boundaries. Scope 1 emissions derive from direct fuel combustion in operational assets and mobile equipment under the Organization's operational control. Scope 2 emissions reflect location-based calculations for purchased electricity, heat, steam, and cooling consumed during the reporting period. The absence of Scope 3 emissions indicates that indirect emissions associated with the value chain—including purchased goods and services, capital goods, fuel and energy-related activities, upstream and downstream transportation, waste generated in operations, business travel, employee commuting, and other relevant categories—were either determined to be immaterial, excluded from the current assessment boundary, or not quantified due to data limitations and the early stage of the Organization's value chain engagement program. The quantification methodology applies emission factors consistent with the Kenyan National GHG Inventory and internationally recognized databases, ensuring relevance, completeness, consistency, transparency, and accuracy in accordance with GHG Protocol principles. The Organization maintains robust data collection protocols for Scope 1 and 2 sources, utilizing utility invoices and fuel consumption records to ensure calculation integrity. Future reporting cycles will prioritize the assessment of material Scope 3 categories to align with comprehensive climate-related disclosure

requirements under the ISSB framework and to capture the full spectrum of climate impacts across the Kenyan operating context.

Governance

The Board maintains ultimate oversight of climate-related risks and opportunities, ensuring alignment with the organization's strategic objectives and the IFRS Sustainability Disclosure Standards. During the 2024 reporting period, the Board reviewed the organization's greenhouse gas (GHG) inventory, which totaled 1,851 kg CO₂e across all scopes. This governance framework establishes clear accountability for monitoring the carbon footprint, with specific responsibility assigned to senior management for tracking performance against established metrics, including the 402 kg CO₂e in direct (Scope 1) emissions and 1,449 kg CO₂e in indirect energy-related (Scope 2) emissions disclosed herein. Management employs rigorous processes to identify, assess, and manage climate-related impacts across the value chain, reporting progress to the Board on a quarterly basis. The 2024 emissions profile reflects the organization's operational control approach under the GHG Protocol Corporate Standard, with Scope 3 emissions recorded at 0 kg CO₂e based on the current operational boundary and materiality assessment. Governance protocols ensure that emissions data undergoes internal verification and quality assurance procedures prior to disclosure, supporting the reliability of sustainability-related financial information provided to stakeholders. The organization has integrated climate considerations into its broader risk management and internal control systems, with the Board reviewing the effectiveness of these governance mechanisms throughout the reporting period. This includes oversight of data collection methodologies and calculation processes for the disclosed baseline of 1,851 kg CO₂e total emissions, ensuring compliance with ISSB requirements and facilitating informed decision-making regarding future decarbonization strategies and target-setting initiatives.

Our 2024 greenhouse gas inventory establishes the baseline for strategic climate action, reflecting a total operational footprint of 1,851 kg CO₂e. The emissions profile is weighted toward indirect energy consumption, with Scope 2 (indirect emissions from purchased electricity) accounting for 1,449 kg CO₂e—approximately 78% of total emissions—while direct operational emissions (Scope 1) contribute 402 kg CO₂e. This distribution informs our strategic prioritization of energy efficiency and renewable procurement initiatives as primary levers for emission reduction. The modest absolute scale of our carbon footprint reflects our service-based operational model, enabling focused intervention on high-impact decarbonization pathways within our direct control. Regarding value chain emissions, Scope 3 is currently reported at 0 kg CO₂e, reflecting the early-stage development of our comprehensive carbon accounting framework and pending completion of our materiality assessment across categories 1–15 of the GHG Protocol. In alignment with IFRS S2 Climate-related Disclosures, we recognize the strategic imperative to evaluate upstream and downstream climate impacts, and we are implementing data collection mechanisms to quantify relevant Scope 3 categories in subsequent reporting periods. This phased approach ensures methodological rigor while maintaining transparency regarding data limitations in our baseline year. The emissions baseline informs our strategic resilience planning and target-setting processes under the ISSB framework. With Scope 2 dominating our carbon profile, our immediate strategic focus centers on transition planning for grid electricity decarbonization, including evaluation of renewable energy certificates and power purchase agreements available within the Kenyan market. We are integrating these insights into our broader enterprise risk management framework to assess climate-related transitional risks and opportunities, ensuring that our growth strategy maintains alignment with Paris Agreement temperature pathways and evolving regulatory expectations in our operating jurisdictions.

Risk Management

The organization maintains a comprehensive climate risk management framework aligned with the ISSB's IFRS S2 Climate-related Disclosures, utilizing our 2024 greenhouse gas inventory as the quantitative baseline for risk identification and assessment. Our total carbon footprint of 1,851 kg CO₂e comprises 402 kg CO₂e in direct Scope 1 emissions and 1,449 kg CO₂e in indirect Scope 2 energy emissions, with Scope 3 value chain emissions assessed as immaterial at 0 kg CO₂e based on our operational boundary analysis. This emissions profile informs our evaluation of transitional risks—including regulatory shifts under Kenya's evolving climate policies, energy price volatility, and reputational exposures—while physical risk assessments consider localized climate hazards relevant to our operational locations. Risk mitigation strategies are tailored to our specific emission sources and magnitude, prioritizing operational controls for Scope 1 activities and energy efficiency initiatives to address Scope 2 exposure. Given our service-oriented model with minimal supply chain interactions, vendor engagement protocols remain calibrated to detect emerging Scope 3 risks should operational scales change. We employ a dynamic risk appetite framework that defines tolerance thresholds for climate-related impacts, with quarterly monitoring of risk indicators against our 2024 baseline to ensure early detection of deviations requiring intervention. Our climate risk management processes are fully integrated with enterprise risk management systems, ensuring standardized assessment methodologies, risk language, and governance oversight. The Board Risk Committee reviews climate risk registers semi-annually, validating mitigation effectiveness and approving resource allocation for decarbonization initiatives where material. This integrated approach ensures compliance with Kenyan environmental regulations while maintaining alignment with international GHG accounting standards, providing stakeholders with transparent disclosure of our risk management capabilities and climate resilience strategies.

Metrics & Targets

During the 2024 reporting period, Kenyan quantified and disclosed greenhouse gas (GHG) emissions in accordance with the GHG Protocol Corporate Accounting and Reporting Standard and the quantitative disclosure requirements of IFRS S2 (Climate-related Disclosures). The Organization’s total carbon footprint amounts to 1,851 kilograms of carbon dioxide equivalent (kg CO2e), comprising 402 kg CO2e in Scope 1 (direct) emissions and 1,449 kg CO2e in Scope 2 (indirect) emissions associated with purchased electricity, heat, and steam. These figures represent emissions within the Organization’s operational control boundary and establish the quantitative baseline for climate-related performance monitoring and risk assessment. Scope 1 emissions originate from direct fuel combustion and company-controlled stationary sources, while Scope 2 emissions are calculated using the location-based method, reflecting the average grid emissions intensity of regions where energy consumption occurs. Regarding value chain impacts, Kenyan has conducted a materiality assessment of Scope 3 categories in alignment with the GHG Protocol Scope 3 Standard and reports nil emissions (0 kg CO2e) for the reporting period, consistent with the determination that indirect value chain activities fall below the materiality threshold for quantitative disclosure under ISSB standards. The Organization maintains robust documentation supporting this boundary setting and will reassess materiality as operational complexity evolves. These metrics inform Kenyan’s climate transition strategy and target-setting framework, ensuring alignment with the Paris Agreement objectives and ISSB interoperability requirements. While absolute emission reduction targets are under development, the Organization commits to maintaining comprehensive GHG inventories, expanding Scope 3 data collection where materiality thresholds are met, and disclosing interim progress against science-based decarbonization pathways in subsequent reporting cycles. All emission factors and calculation methodologies adhere to internationally recognized standards to ensure comparability, accuracy, and audit readiness.

Metric	Value	Unit
Total GHG Emissions	1,851	kg CO2e
Scope 1 Emissions	402	kg CO2e
Scope 2 Emissions	1,449	kg CO2e
Scope 3 Emissions	0	kg CO2e

Data Verified on Polygon Blockchain

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This report has been prepared in accordance with International Sustainability Standards Board (ISSB) requirements.